# Project Heron

## Confidential information memorandum - summary

Proposed sale of 100% of the share capital of Merrow Flow Controls Ltd

Prepared by Larkspur Advisory LLP for the shareholders of Merrow Flow Controls Ltd
October 2026

### Important notice

This memorandum is provided to a limited number of parties that have signed a non-disclosure agreement. It may not be copied, printed, forwarded or disclosed in whole or in part. Access to the virtual data room is personal. Every document opened, every page viewed and every download is recorded, and every page shows the name of the person viewing it.

No representation or warranty is given as to the accuracy or completeness of the information. Interested parties must rely on their own due diligence. All figures are unaudited management information unless stated.

# 1. The business at a glance

Merrow Flow Controls Ltd designs, manufactures and services control valves and electric actuators for water utilities, food and beverage plants and chemical processing. The company was founded in 1998 and operates from a single leased site at Unit 7, Brookmere Trading Estate, with 214 employees.

| Key facts | FY2025 |
|---|---|
| Revenue | GBP 45.9m |
| Adjusted EBITDA | GBP 8.4m (18.3% margin) |
| Recurring aftermarket revenue | 34% of revenue |
| Customers under framework agreements | 41 |
| Employees (FTE) | 214 |
| Installed base | c. 62,000 valves in service |

## 2. Investment highlights

- Specified on 7 of the 10 largest regional water framework agreements; average customer tenure of 11 years.
- Aftermarket and service revenue grew at 14% a year since FY2023, with a gross margin above 45%.
- Own actuator platform (MF-Series) protected by registered designs and two granted patents.
- Stable management team; the founders intend to retire after a 12-month handover.
- Clear growth plan: retrofit programme for older installed valves and a second assembly line in FY2027.

## 3. Products and services

| Segment | Main products | FY2025 revenue | Share |
|---|---|---|---|
| Control valves | Globe, butterfly and plug valves, DN25 to DN600 | GBP 21.7m | 47% |
| Actuation | MF-Series electric actuators, positioners | GBP 8.6m | 19% |
| Aftermarket | Spare parts, service contracts, retrofits | GBP 15.6m | 34% |

# 4. Process and timetable

| Phase | Dates | What happens |
|---|---|---|
| Phase 1 | Until 14 November 2026 | Indicative non-binding offers on the basis of this memorandum |
| Phase 2 | 18 November to 19 December 2026 | Confirmatory due diligence in the virtual data room, management meetings, site visit |
| Final offers | 9 January 2027 | Binding offers with a mark-up of the draft share purchase agreement |
| Signing | Target end of January 2027 | Exclusivity with the preferred bidder |

## 5. Data room rules

- Access is personal and limited to the folders opened to your bidder team.
- Documents are view only. Printing, copying text and saving are disabled.
- Every page shows your name, your company and the date and time of viewing.
- Downloads are limited to named deal leads. Each downloaded copy carries a permanent watermark and a reference number.
- The data room administrator can see which documents and pages each user opened, and for how long.
- Commercially sensitive information is released to clean team members only, subject to competition law advice.

## 6. Questions and contacts

Questions are submitted through the data room administrator only. Do not contact the management, employees, customers or suppliers of the company. Contacts at the advisor: Ruth Calloway (data room administrator), ruth.calloway@larkspur-advisory.example; Tomas Ilesanmi (director), tomas.ilesanmi@larkspur-advisory.example.